

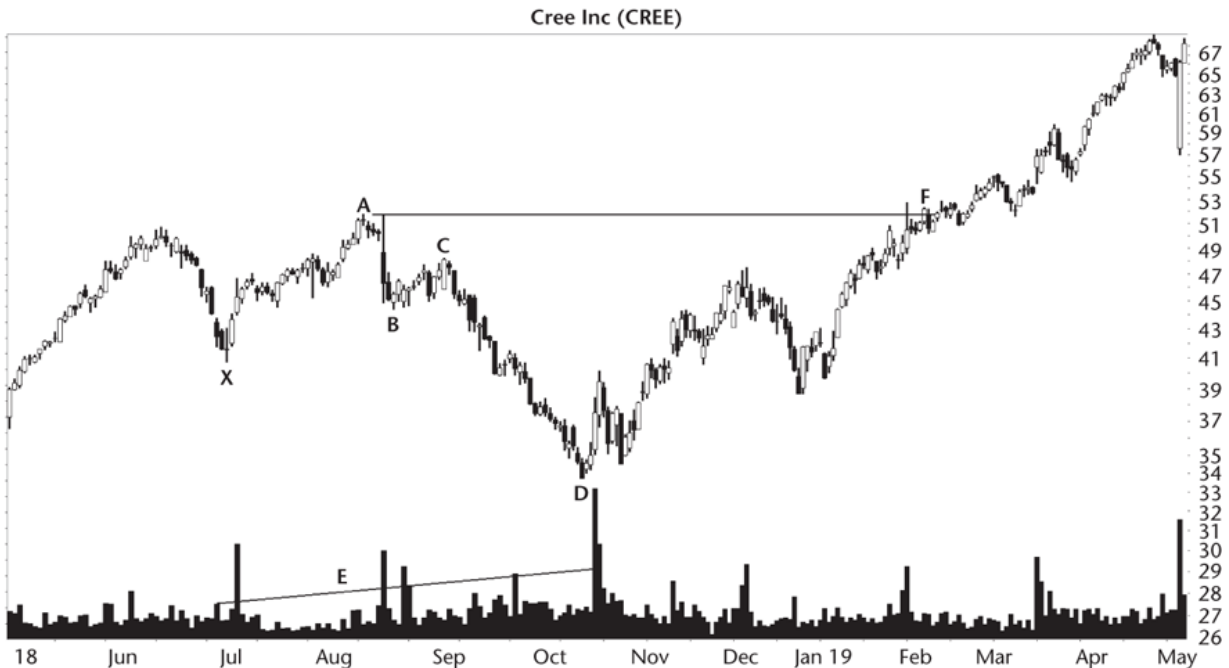


Figure 20.2 This bullish crab shows a sustained uptrend after an upward breakout.

AB/AX retrace. I programmed my computer to find minor highs and lows and selected two points, X and A. Then I searched for turn B. If the ratio of AB to AX spans one of the three Fibonacci numbers listed in the table, then point B is a valid crab turn.

To do this, I used the low at X (40.75), high at A (51.78), and for the target turn (the last point of the three), the high–low range of B (45.64 to 44.34). Plugging the numbers into the ratio we get (using the high at B): $(51.78 - 45.64)/(51.78 - 40.75)$ or .56. Using the low at B, we get $(51.78 - 44.34)/(51.78 - 40.75)$ or .67. The range .56 to .67 spans the .618 number, so we found turn B.

CB/AB retrace. In a similar manner, I use the high–low range of C (41.82 to 48.23) along with the high at A and low at B. If you plug the numbers into the CB/AB ratio, you get a range of .20 to .52. That range spans .382 and .5 from [Table 20.1](#), so we found point C.

CD/CB extension. For the extension, I use the same high–low method with the last point (D, 34.85 to 33.72). I also use the low at B, and high at C. That gives a range of 3.44 to 3.74. The 3.618 number fits snugly in that range, so point D is valid, too.